

stock did pause on its way higher at J, where it moved sideways for a few weeks, mirroring the peak at G.

My scoring system says this was a -2 with a 27.52 target. The -2 means it's less favorable than usual that the stock will climb that far. See my book, *Trading Classic Chart Patterns* (Wiley, 2002).

I bought on 13 July 2006 (C) and received a fill at 21.86. Then I waited to collect my dividend checks as the price climbed.

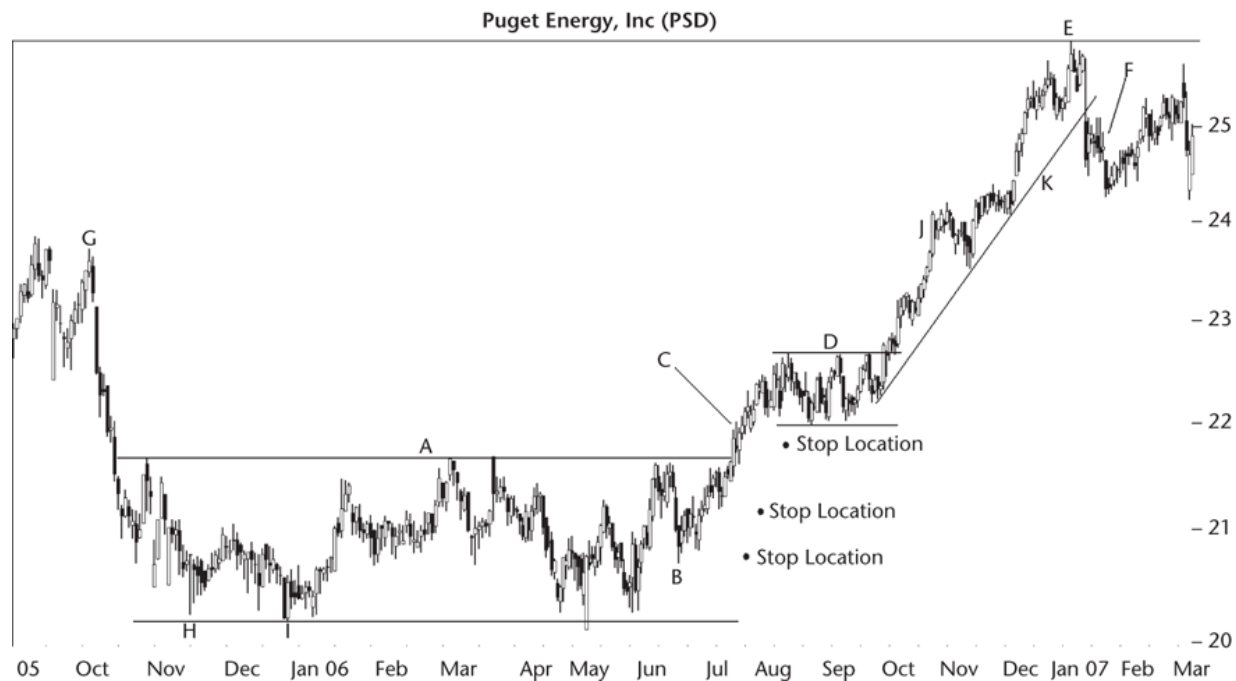


Figure 51.4 A trade in this rectangle resulted in a profit.

Four days after I bought, I raised the stop to 20.76, just below the minor low on 23 June. See the lowest black dot on the chart. It shows the approximate price and time when I moved my stop. Nine days later I raised it again, to 21.13, “below a minor low. Earnings are due out 4 August, so I want to keep the stop a bit wide in case of an adverse report.” The chart shows the new location (the middle black dot).

On 7 August, I raised the stop for the last time, to 21.71, shown as the highest black dot. About a month later, “6 September 2006. I canceled the stop because I wanted to hold it longer term and I feel I might be stopped out.”